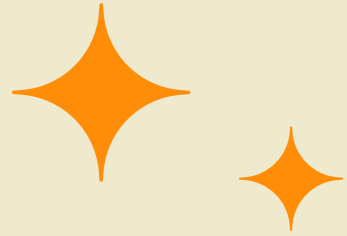


Chapter 14: Financing Liabilities



TABLE OF CONTENTS



01

Financing Liabilities

02

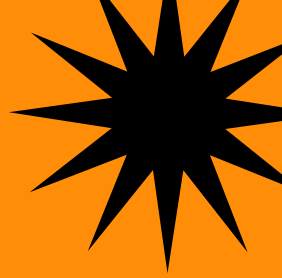
Analysis of Liabilities

03

Credit Risks and Ratios

04

Analysis of Credit Risks and Ratios



Financing Liabilities

Overview

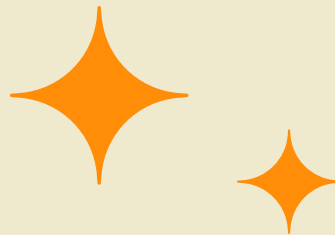
Short-Term Debt

Long-Term Debt

THE HOME DEPOT, INC. CONSOLIDATED BALANCE SHEETS		
<i>in millions, except per share data</i>	February 1, 2026	February 2, 2025
Liabilities and Stockholders' Equity		
Current liabilities:		
Short-term debt	\$ 4,464	\$ 316
Accounts payable	11,491	11,938
Accrued salaries and related expenses	2,529	2,315
Sales taxes payable	508	628
Deferred revenue	2,575	2,610
Income taxes payable	114	832
Current installments of long-term debt	4,967	4,582
Current operating lease liabilities	1,418	1,274
Other accrued expenses	4,358	4,166
Total current liabilities	32,424	28,661
Long-term debt, excluding current installments	46,341	48,485
Long-term operating lease liabilities	8,160	7,633
Deferred income taxes	2,845	1,962
Other long-term liabilities	2,512	2,738
Total liabilities	92,282	89,479

Visual of Total Debt

Short-Term vs. Long-Term Portions



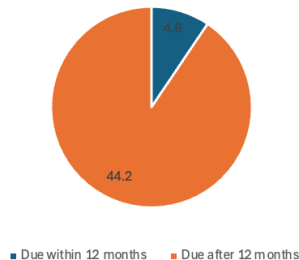
Debt	Feb. 1, 2026	Feb. 2, 2025
Short Term	4,464	316
Current Portion of Long Term Debt	4,967	4,582
Long Term	46,341	48,485
Total Debt	55,772	53,383

in millions, except per share data

Bonds Payable a.k.a. Senior Notes

- \$25.4 billion expected in future interest payments
 - \$2.0 billion payable within 12 months
 - \$23.4 billion thereafter

Home Depot Senior Notes Outstanding



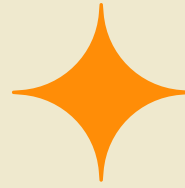
Lease Liabilities

THE HOME DEPOT, INC. CONSOLIDATED BALANCE SHEETS

<i>in millions, except per share data</i>		February 1, 2026	February 2, 2025
Liabilities:			
Current:			
Operating lease liabilities	Current operating lease liabilities	\$ 1,418	\$ 1,274
Finance lease liabilities	Current installments of long-term debt	288	272
Long-term:			
Operating lease liabilities	Long-term operating lease liabilities	8,160	7,633
Finance lease liabilities	Long-term debt, excluding current installments	2,675	2,749
Total lease liabilities		<u>\$ 12,541</u>	<u>\$ 11,928</u>

Has Home Depot Taken More Debt or Reduced it?

Taken more debt.



\$ in Millions	February 2, 2025	February 1, 2026	Change In Years
Short-Term Debt	316	4,464	+4,148
Current Installments of Long-Term Debt	4,582	4,967	+385
Long-Term Debt	48,485	46,341	-2,144
Total Debt	53,383	55,772	+2,389 (4.5%)



Has the Maturity Structure Changed?

Yes towards short

Short term debt + Current Installments

went from about \$4.9B to \$9.4B rising about 9% to 17% of total debt.

Long-term Debt

fell from about 91% to 83%.

What Might Explain these Changes?

Expansion: GMS acquisition

\$5.4 Billion

Refinancing:
with commercial
paper

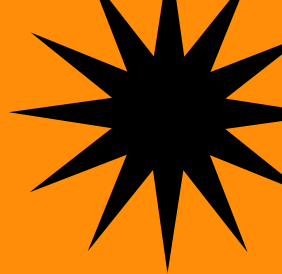
\$316M → \$4.5B

Less cash from
operations

\$19.8B → \$16.3B

Buybacks
Paused

\$649M → \$0



Credit Risks and Ratios

Understanding it

Credit Rating

S&P Global Ratings

A – Long-Term Rating

A-1 – Short-Term Rating

Outlook – Stable

Investment Grade – Strong capacity to meet financial obligations

Credit Ratios

Home Depot FY 2025

FFO / Total Debt - **31.7%**
\$17.70B / \$55.77B

Debt / EBITDA - **2.24x**
\$55.77B / \$24.95B

What do these Ratios Suggest about the Company's Ability to Repay Debt?



FFO/Debt of 31.7% suggests a reasonable ability to repay debt through funds generated by operations.

Debt/EBITDA of 2.24× suggests a moderate debt burden relative to earnings.

Both fall within S&P's **intermediate financial-risk range**, rather than its aggressive range.

Typical Ranges for Investment-Grade vs. Speculative-Grade Firms

Investment-grade firms generally have higher FFO-to-debt ratios and lower debt-to-EBITDA ratios, showing a stronger ability to handle debt.

Speculative-grade firms generally have lower FFO-to-debt ratios and higher debt-to-EBITDA ratios, showing greater repayment risk.

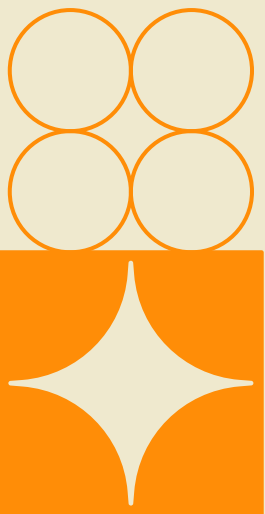
Home Depot's **estimated FFO/debt of 31.7%** and **debt/EBITDA of 2.24×** fall within S&P's intermediate financial-risk ranges of **30–45%** and **2–3×**. These results broadly support its investment-grade rating.

Is the Credit Rating consistent with Financial Ratios

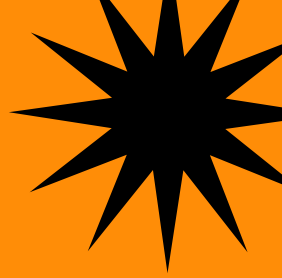
Does the Credit Rating Match the Ratios?

- **Yes.** Home Depot's A credit rating is broadly consistent with its financial ratios.
- **Estimated FFO / Total Debt: 31.7%** — suggests a reasonable ability to generate funds compared with its debt.
- **Debt / EBITDA: 2.24×** — suggests a moderate debt burden compared with its earnings.

Conclusion: These ratios support the investment-grade rating, although more debt due soon increases repayment pressure.



RESOURCES



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RESOURCES

THANKS

Are there any questions?

THANKS

